

TURKEY

2016

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1 Overview of the tax-benefit system

According to Article 79 of the Law No. 5510 on Social Insurance and Universal Health Insurance, for short and long term insurances and universal health insurance, the Institution is obliged to collect, and the concerned parties are obliged to pay premiums in order to cover any kind of payment foreseen in the Law and management expenses. Universal health insurance premiums collected by the Institution shall be transferred directly to the universal health insurance section of the Institution budget, following collection.

Insurance benefits prescribed in the Law are financed by the premiums paid by employees and employers. The rates of the insurance premiums to be collected in line with this Law were regulated in Article 81, with the title “Premium rates and contribution of State”. Accordingly:

The rate of invalidity, old - age and survivors insurance premiums is 20% of the earnings of the insurance holder subject to premium. 9% of this is insurance holder's share, whereas 11% is employer's share.

Short term insurance branches premium rate is 2% according to Article 81. All of this premium shall be paid by the employer.

Universal health insurance premium shall be 12.5% of the earning subject to premium calculated pursuant to this Law, for individuals subject to short and long term insurance branches. 5% of this premium is insurance holder's share and 7.5% is employer's share. Universal health insurance premium for individuals subject to only universal health insurance shall be 12% of the earning subject to premium.

The State contributes to the Institution, at a rate of one fourth of the invalidity, old - age and survivors insurances and universal health insurance premium collected by the Institution per month. The amount to be calculated as contribution of state shall be payable to the Institution, by Treasury, within 15 days following the date of request.

According to the new regulation, premium shares to be paid for insurance holders, who are employed by one or more employer through a service contract, within the scope of paragraph (a) of Article 4 are shown below:

Insurance Branches	Employee's Share (%)	Employer's Share (%)	Total
Short Term Insurance Branches Premium	-	2	2
Invalidity, Old-age and Survivors Insurance Premium	9	11	20
Universal Health Insurance Premium	5	7.5	12.5
Unemployment Insurance Premium Rate	1	2	3
Total	15	22.5	37.5

Reference date for all information is **July 1st 2016**

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For the private sector employers who employ insurance holders under item (a) of Article 4 of the Law, the amount corresponding to five points of employer share in the premiums of invalidity, old - age and survivors insurances are covered by the Treasury.

Premium shares paid by independent insurance holders who work on their own behalf and account, under item (b) of Article 4 of the Law are shown below:

Insurance Branches	Premium Rates Paid by Insurance Holders %
Short Term Insurance Branches Premium	2
Invalidity, Old-age and Survivors Insurance Premium	20
Universal Health Insurance Premium	12.5
Total	34.5

Premiums of independent insurance holders (4/b) are accrued by the Institution, from 01.01.2009, over the amount to be declared by themselves on the condition that they are in the range of lower and upper limits of daily earning subject to premium, and in case they do not declare, over the lower limit of daily earning subject to premium.

According to the Law No. 5510, the rate of invalidity, old - age and survivors insurance premiums is 20% of the earnings subject to premium of the insurance holder, for the insurance holders who become public servants (4/c) for the first time. 9% of this is insurance holder's share, and 11% is employer's share. Universal health insurance premium is collected from insurance holders who become public servants (4/c) for the first time, at a rate of %12.5 in addition to existing premiums. 5% of this premium is insurance holder's share and 7.5% is employer's share.

Premium shares paid by insurance holders who become public servants (4/c) for the first time, according to the Law No. 5510:

Insurance Branches	Employee's Share %	Employer's Share %	Total
Invalidity, Old-age and Survivors Insurance Premium	9	11	20
Universal Health Insurance Premium	5	7.5	12.5
Total	14	18.5	32.5

Reference date for all information is **July 1st 2016**

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In return to duty disability pensions, being or will be paid to insurance holders under item 4/c and to survivors pensions to be granted to their dependents, additional return premium shall be collected at 20% of the state premium benefits allocated to social security institutions from public administrations' budgets for insurance holders in this scope. All of the allocated additional premium shall be payable in equal monthly installments, within six months following the beginning of the month following the effective date of institution budgets after approval of competent authorities. Additional premiums of administrations under general budget shall be covered from the allowance to be placed in the Ministry of Finance budget.

1.1. *Average production worker wage (APW)*

The national currency is the Türk Lirası (TL). Turkey has changed its national currency unit in 2005 (after 1 January 2005, 1YTL = 1 million TRL, after 1 January 2009, 1TL = 1 YTL). In 2016, TL 3.02 was equal to USD 1. In that year, the average worker earned TL 36 806 (Country estimate).

2 Unemployment insurance

Program name in local language		UNEMPLOYMENT BENEFIT
Insurance is voluntary(V) or compulsory(C) for employees		C
Employment record (E) and contribution (C) conditions		E + C: 600 days out of last 36 months, continuously in last 120 days
Waiting period (days)		0
Maximum duration (months)		10
Uprating mechanism of the benefit		...
Calculation of unemployment insurance benefit:	initial benefit as % of calculation base	40% (It cannot exceed 80% of gross minimum wage.)
	benefit at the end of legal entitlement period in % of calculation base	40% (It cannot exceed 80% of gross minimum wage.)
	Calculation base(2)	Gross
	Permitted employment and disregards when receiving unemployment insurance benefit	No
Benefit provision (eligibility (E), generosity (G)) varies with	age	0
	family situation	0
	contract type	0
	other	0

Unemployment Insurance Law was put into effect in 1999. Unemployment insurance premium deduction was started on 01.06.2000 and the first payment was made to unemployed persons in March 2002.

Unemployment Insurance is a compulsory insurance that performs with insurance techniques, covering a proportion of the income loss due to unemployment, of those who have lost their jobs unintentionally without any fault, despite their will, ability, health and qualifications for work, for a period of time.

Among the insured persons who are in the scope of (a) clause of the first paragraph and the second paragraph of the forth article of Law on Social Insurance and General Health Insurance numbered 5510, the ones who work with labour contract, the insured persons who are subject to funds stated in temporary twentieth article of Law on Social Insurance numbered 506, if they demand, the insured who work with part time labour contract according to law numbered 4857, persons who work in public transport vehicles such as taxi, dolmush, the persons who work with part time labour contract by one or more employers in the places determined by Ministry of Culture and Tourism who work less than 10 days a month are in the scope of unemployment insurance.

In the context of unemployment insurance, the following benefits and services are provided for unemployed insured persons by ISKUR:

- Unemployment benefit
- Universal Health Insurance premium payments required by the Law No. 5510
- Finding a new job
- Active labour services
- Advisory services

2.1 *Conditions for receipt*

2.1.1 *Working conditions*

Persons regarded as insured according to the Unemployment Insurance Law are entitled to receive unemployment benefits, provided that their labour contracts are terminated without their will and fault and they register themselves stating that they are ready to get a job by applying to Turkish Employment Agency (ISKUR) personally or electronically within the prescribed period (30 days), on the condition that they have worked for at least 600 days with insurance and paid unemployment insurance premiums within the 3 years before the termination of their contracts, and worked continuously and paid premiums for the last 120 days prior to leaving the job. In 30 days after the termination of labour contract, he/she should apply to closest ISKUR branch in person or www.iskur.gov.tr. (If it is not applied in 30 days except for force majeure, the delay time will be deducted from the total right of ownership period).

2.1.2 *Contribution conditions*

Unemployment insurance is compulsory. Unemployment insurance premiums are paid by the State, employer and the insured, in order to finance all kinds of payments and service expenditure necessary for unemployment insurance.

The unemployment premium is taken as 1% the insured person, 2% employer and 1% from the government share from the premium based monthly gross income. For voluntary unemployment insurance, the premium is taken as 1% the insured person and 2% employer share.

2.2 *Calculation of benefit amount*

2.2.1 *Calculation of gross benefit*

Daily unemployment benefit is 40 % of the daily average gross earning, calculated by considering the earnings taken as basis for premiums for the last 4 months. The amount of the unemployment benefit calculated as described above, cannot exceed 80% of the gross amount monthly minimum wage. In 2016, minimum 653,80 TL, maximum 1,307,60 TL unemployment benefit was paid.

2.2.2 *Income and earnings except for benefit recipients and those starting a new job*

2.3 ***Tax treatment of benefits and interaction with other benefits***

Unemployment benefits are not subject to any taxes or deductions other than stamp tax, except for alimony debts, it cannot be seized and transferred. The persons who are entitled to receive both job loss compensation (prescribed in Article 21 of the Law on Regulation of Privatization Exercises and Amendments in Certain Statutory Decrees, No. 4046, dated 24/11/1994) and unemployment benefits at the same time are paid the job loss compensation primarily.

Job loss compensation applications are regarded as unemployment benefit request applications as well.

Because of general economic, sectoral, regional crisis or force majeure, in case short time working is done in a work place, short time working allowance is paid by Unemployment Insurance Fund. In order to deserve the right for short time working allowance, the employee should have the conditions to have the right for unemployment insurance except for termination of labour contract.

It is determined by law that the duration for short time working allowance is maximum 3 months and it is provided that short time work duration will be deducted from unemployment benefit duration determined in the beginning. Council of Ministers is entitled to extend the duration of short time working allowance to six months and determine whether it would be deducted from unemployment benefit.

2.4 ***Benefit duration and waiting periods***

Workers who have and worked continuously and paid premiums for the last 120 days prior to termination of the labour contract and fulfilled the other requirements mentioned in the Law, are entitled to receive unemployment benefits for the following durations:

- Insured, unemployed persons who have worked with insurance and paid unemployment insurance premiums for 600 days within the last three years receive payments for 180 days.
- Insured, unemployed persons who have worked with insurance and paid unemployment insurance premiums for 900 days within the last three years receive payments for 240 days.
- Insured, unemployed persons who have worked with insurance and paid unemployment insurance premiums for 1080 days within the last three years receive payments for 300 days.

Unemployment benefits are paid to the unemployed person himself/herself at the end of each month and the first payment is made until the end of the first month following the date of entitlement to the benefit.

In case the insured person is employed before completing the unemployment benefit duration and gets unemployed before fulfilling the conditions for unemployment insurance benefit, prescribed

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in the Unemployment Insurance Law, he/she continues to benefit from this right until the end of the unemployment benefit period he/she became entitled before.

If the person gets unemployed again, fulfilling the conditions prescribed in the Law, he/she is entitled to receive the unemployment benefits only for the duration that arises due to this new entitlement.

There is no waiting period for those entitled to unemployment benefits.

2.5 *Treatment of particular groups*

2.5.1 *Young Persons*

2.5.2 *Older workers*

2.5.3 *Others if applicable, including disabled*

Unemployment allowances are paid regardless of age, sex, marital status differences. Conditions and entitlements are the same for everyone.

3 Unemployment assistance

3.1 Conditions for receipt

3.1.1 *Employment conditions*

3.1.2 *Contribution conditions*

3.2 Calculation of benefit amount

3.2.1 *Calculation of gross benefit*

3.2.1.1 *Irregular additional payments*

3.2.1.2 *Obligations of family members*

3.2.2 *Income and earnings except for benefit recipients and those starting a new job*

3.3 Tax treatment of benefit and interaction with other benefits

3.4 Benefit duration and waiting periods

3.5 Treatment of particular groups

3.5.1 *Young persons*

3.5.2 *Older workers*

3.5.3 *Others if applicable, including disabled*

4 Social assistance

The State of the Republic of Turkey has taken destitute and poor citizens under protection, with Law No. 2022, on Granting of Pensions to Turkish Citizens Who Are Over the Age of 65 and Who Are Destitute, Infirm and Without Any Means of Support, As Well As Disabled Destitute Citizens, which came into effect on 10.07.1976. Thus, the State puts the citizens in need on salary taking certain criteria into account.

The persons in the scope of the Law are put on salary and their medical treatment costs are met according to the Law No. 3816 Pertaining To Meeting the Medical Expenses of the Citizens Without Means by the State through issuing a Green Card.

Within the scope of the Protocols, responsibilities of the Ministry of Family and Social Policies and İŞKUR have been identified under the title of ‘Activating the Relation between Social Assistances and Employment’. In accordance with the Protocols, those, who apply and receive social assistance, are registered into TEA database via Integrated Social Assistance Services Information System.

OUTCOMES OF SOCIAL ASSISTANCE- EMPLOYMENT RELATION AS OF 01.07.2014- 30.06.2016	
ACTIVITIES	TOTAL
Directed Towards Vacant Job	49515
Employed	18373
Applied To Courses	22450
Attended Courses	9.858

As of 14.07.2014, by means of all Social Assistance and Solidarity Foundations in 81 provinces, a new model has started to be implemented which anticipates incentive on condition that social assistance beneficiaries should attend employment-generating activities and envisages sanction in case they do not attend those activities. These are the features of the new model:

Incentive Supports for Employment

- “Job Guidance Assistance” is provided maximum 4 times in a year for expenses such as transportation, state of health, headshot photo etc. needed for the citizen to go to job interview and to be employed (40 TL-100 TL).
- “Assistance for Start Working” is provided for once only as much as one-third of gross amount of minimum wage in case the people guided for the job is employed (378 TL for the period between 01.07.2014 – 31.12.2014, 424,50 TL for the period between 01.07.2015 – 31.12.2015, 549 TL for the period between 01.01.2016 – 30.06.2016)
- People, who regularly keep at job, are primarily evaluated in heating, education and food assistances.

- In case beneficiaries of conditional education and health assistances are employed, their assistances will not be cut off during 12 months.

Sanction

In case social assistance beneficiary does not attend employment-generating activities without good cause, any “cash assistance” will not be provided by Social Assistance and Solidarity Foundations except from regular central assistances and in-kind assistances.



4.1 Conditions for receipt

According to the Law No. 2022, on Granting of Pensions to Turkish Citizens Who Are over the Age of 65 and Who Are Destitute, Infirm and Without Any Means of Support, As Well As Disabled Destitute Citizens, conditions for receipt are as below:

1. Old-age Pension (Pension for 65 years of age):

Citizens who are over the age of 65 and do not receive any income or pension from any of Social Security Institutions and whose total income of husband and wife divided by two is below 1/3 of net minimum wages on the condition that their destituteness are confirmed by foundation of social assistance and solidarity shall be granted old age pension. The amount of this pension is calculated by multiplying 2.332 indicative number with civil servant monthly coefficient.

2. Disability Pension for Persons Requiring Care: (disability over %70)

Disabled citizens who are between 18 and 65 years old and cannot lead an independent life without care of another person (disabled to the degree of %70 and over) and cannot benefit from an income or pension of any social security institution and whose household income per individual is below 1/3 of net minimum wages on the condition that their destituteness are confirmed by a social assistance and solidarity foundation shall be granted pension. The amount of this pension is calculated as multiplying 5.253 indicative number with civil servant monthly coefficient.

3. Disability Pension (disability between 40-69%)

Disabled citizens who are unemployed despite they have applied to Turkish Employment Agency in order to find a job and who are between 18-65 ages, with a degree of disability between 40%-69% confirmed with medical reports and who cannot benefit from an income or pension of any social security institution and whose household income per individual is below 1/3 of net minimum wages on the condition that their destituteness are confirmed by a social assistance and solidarity foundation shall be granted pension. The amount of this pension is calculated by multiplying 3.502 indicative number with civil servant monthly coefficient.

4. Pension for relatives of disabled (below the age of 18, disabled/invalid-disability of 40% and over)

Relatives of the disabled citizen whose disability is confirmed by medical reports of authorized institutions on the condition that they actually carry out nursing for the disabled shall be put into pension if the following requirements are met.

The disabled must be below 18 years old and his/her parents shall not be working at a job which requires paying long term social security contributions. Household income per individual of the relative who is taking care of the disabled must be below 1/3 of net minimum wages and their destituteness shall be confirmed by a social assistance and solidarity foundation. The amount of this pension is calculated by multiplying 3.502 indicative number with civil servant monthly coefficient.

4.2 Calculation of benefit amount

According to the Law No. 2202, the Amount of the Pensions Granted in December 2015 and July 2016 is shown in the table below:

Beneficiaries	Benefit Amounts Paid in 2015-2016 (TL)	
	July - December/2015 period	January - July/2016 period
1- Old-age Pension (Pension for 65 years of age)	203,44	217,48
2- Disability Pension for Persons	458,26	489,89

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over 65 and Requiring Care		
3- Disability Pension (disability between 40-69%)	305,51	326,59
4- Disabled Relative Pension (Handicapped-Disabled below 18)	305,51	326,59

4.2.1 *Calculation of gross benefit*

4.2.1.1 *Irregular additional payments*

4.2.1.2 *Obligations of family members*

4.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

4.3 *Tax treatment of benefit and interaction with other benefits*

4.4 *Benefit duration and waiting periods*

4.5 *Treatment of particular groups*

4.5.1 *Young persons*

4.5.2 *Older workers*

4.5.3 *Others if applicable, including disabled*

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5 Housing benefits for rented accommodation

5.1 *Conditions for receipt*

5.2 *Calculation of benefit amount*

5.2.1 *Calculation of gross benefit*

5.2.2 *Income and earnings disregards*

5.2.3 *Costs eligible for housing benefits*

5.3 *Tax treatment of benefit and interaction with other benefits*

5.4 *Treatment of particular groups*

5.4.1 *Young persons*

5.4.2 *Older workers*

5.4.3 *Others if applicable, including disabled*

6 Family benefits

Various social assistance programs are being implemented by General Directorate of Social Assistances by using SAS Fund resources for people covered by the law no. 3294 notwithstanding people's particular conditions such as age, disability as mentioned in section 6.4 of the template. Only social assistances (basic needs as accommodation, food etc.) are implemented by SAS Foundations for foreigners have 2 special conditions as stated below. Additionally, the amount and frequency of benefits are determined by Board of Trustees. So, there is no calculation of benefit amount as mentioned in section 6.2 of the template.

1. Food Assistances

Resource from the Fund is transferred to Social Assistance and Solidarity Foundations (SASF) twice a year before the religious festivals in order to meet the basic needs of the people such as food and clothing. Apart from that, Social Assistance and Solidarity Foundations can provide food assistances for needy people in any time of the year.

2. Heating Supports

Since 2003, heating supports, at least 500 kg coal per household which are provided through Turkish Coal Enterprises (TKI), are distributed by SAS Foundations to the needy people.

3. Educational Material Supports

At the beginning of each school year, basic educational needs such as uniforms, shoes, bags, stationary of primary and high school children of poor and needy families are covered by means of SAS Foundations.

4. Lunch Assistance for Students

The bussing system has started to be implemented in 1997 aiming at providing free lunches to the poor students bussed to centers where their schools are located. As from 2003, the bussing system and free lunch programme have being implemented by the provincial and sub-provincial directorates of Ministry of Education through the resources allocated from the Fund.

5. Book Assistances

The books of the primary school students are provided free of charge by the Ministry of Education by means of resources form the Fund starting from the academic year of 2003–2004. The resource allocated is directly transferred to the Ministry of Education.

6. Assistances for Students' Sheltering, Transportation and Food

It is a support program provided by SAS Foundations for the transportation and sheltering needs of the secondary school students who are not included in the bussing system.

7. Public Soup-Kitchen

Public soup-kitchens are being run by SAS Foundations in order to provide hot meals for the elder, handicapped and needy people in the settlements with significant unemployment and poverty rates.

8. Assistances for Those Who Suffer from Disasters

Urgent supports from the fund have been provided for people who suffer from disasters such as earthquake, flooding, fire and etc.

9. Foreigners

Social assistances (basic needs as accommodation, food etc.) are implemented by SAS Foundations for foreigners who have been in Turkey for any reason **include “foreigners under temporary protection”**. Ultimate criterions of this programme were accepted by the Decision of the Fund Board in October, 2014.

In October 22, 2014 the Regulation of Foreigners Under Temporary Protection became operative and according to this implementing regulation (30th item), Fund Board had to determine the criterions of this assistance program for foreigners under temporary protection. In this context, Fund Board decided to approve the previous regulations which were accepted in October, 2014. Criterions include these;

- Foreigners who are registered by police authorities and who do not stay in accommodation centers may be benefited from these assistances.
- SAS Foundations firstly supply these assistances by their own financial facilities.
- If their own financial facilities do not afford to provide social assistances for foreigners, they demand additional financial support and these demands are presented to Fund Board.

10. Maternity Benefit

With the Law no. 6637 dated 27.03.2015 and with the amendment to the Decree Law no.633 concerning the Organization and Duties of the Ministry of Family and Social Policy, some arrangements have been made about providing “Maternity Benefit” to Turkish citizens and those holding Blue Card. Regulations regarding application of Maternity Benefit was issued on the Official Gazette no. 29364 dated 23.05.2015 and has become effective from the date 15.05.2015. Within the scope of the application, 300 TL for the first baby born alive, 400 TL for the second baby and 600 TL for the third and the following babies are paid as maternity benefit. The payment is made to the mother if she is alive and Turkish citizen.

6.1 Conditions for receipt

6.2 Calculation of benefit amount

6.2.1 Calculation of gross benefit

6.2.1.1 Irregular additional payments

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6.2.2 *Income and earnings disregards*

6.3 *Tax treatment of benefit and interaction with other benefits*

6.4 *Treatment of particular groups*

6.4.1 *Young persons*

6.4.2 *Older workers*

6.4.3 *Others if applicable, including disabled*

7 Childcare for pre-school children

7.1 Out-of-pocket childcare fees paid by parents

7.2 Child-care benefits

Child-care benefits: Conditional Health Assistance for Children is an assistance program provided on the condition that parents should regularly bring their children between the age of 0 – 6 to the medical checks on the date specified by the Ministry of Health. The assistance is primarily provided to the mother of the child, then the father or to an adult who live in the same house and look after the child.

7.2.1 Conditions for receipt

In order to be beneficiary of this assistance program, there should not be anyone covered by the social security system in the household of the person, who apply for the assistance on behalf of child. Also, the needy and vulnerable situation of these people should be determined by the decision of the Board of Trustees of the Social Assistance and Solidarity Foundations (SASF).

Person, who would benefit from this assistance, should bring her child to the medical checks and follow-ups specified by the Ministry of Health. The follow-ups for the babyhood are as follows:

- 1st check during the delivery (should be in hospital)
- 2nd check in the first 48 hours (should be in hospital)
- 3rd check between the 3rd and 25th days (in the family health center)
- 4th check between 30th and 55th days
- 5th check between 60th and 85th days
- 6th check between 90th and 115th days
- 7th check between 120th and 150th days
- 8th check between 175th and 210th days
- 9th check between 250th and 290th days

The follow-ups for the childhood (between 1 and 6) are as follows:

- 1st (10th) check between 365th and 394th days
- 2nd (11th) check between 481st and 570th days
- 3rd (12th) check between 661st and 750th days
- 4th (13th) check between 841st and 930th days
- 5th (14th) check between 1021st and 1110th days

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- 6th (15th) check between 1321st and 1530th days
- 7th (16th) check between 1681st and 1890th days

7.2.2 Calculation of benefit amount

	Follow-up No:	Starting Month of the Follow-up	Ending Month of the Follow-up	Amount of the Assistance to be calculated	Amount of the Assistance to be paid	Follow-up Period determined by the Ministry of Health
BABY	1	1	1	35-TL x1	35,00 TL	After the delivery (in the hospital)
	2					0-48 hours (in the hospital)
	3					3-25
	4	2	2	35-TL x1	35,00 TL	30-55
	5	3	3	35-TL x1	35,00 TL	60-85
	6	4	4	35-TL x1	35,00 TL	90-115
	7	5	6	35-TL x2	70,00 TL	120-150
	8	7	8	35-TL x2	70,00 TL	175-210
	9	9	12	35-TL x4	140,00 TL	250-290
CHILD	10	13	16	35-TL x4	140,00 TL	365-394
	11	17	22	35-TL x6	210,00 TL	481-570
	12	23	28	35-TL x6	210,00 TL	661-750
	13	29	34	35-TL x6	210,00 TL	841-930
	14	35	44	35-TL x10	350,00 TL	1021-1110
	15	45	56	35-TL x12	420,00 TL	1321-1530
	16	57	72	35-TL x16	560,00 TL	1681-1890
				72 MONHTS	2.520,00 TL	

7.2.2.1 Calculation of gross benefit

7.2.2.2 Income and earnings disregards

7.2.3 Tax treatment of benefit and interaction with other benefits

7.2.4 Treatment of particular groups, including disabled

8 Employment-conditional benefits

Public Workfare Programs (PWP)

PWP are the programs aiming at short-term employment and training of the unemployed in the times of high unemployment, by realization of a work or a service for public good, directly or with a contractor. These activities are usually carried out to prevent the unemployed recorded in the Institution from losing their working routine and discipline, and experiencing financial difficulties due to long-term unemployment.

8.1 Conditions for receipt

1. To participate in PWP, the applicant must meet the following conditions:
 - a. Being unemployed and registered in Turkish Employment Agency
 - b. At the age of 18 or older
 - c. Not receiving retirement, or invalidity pension
 - d. Not being student (except for open education high schools and faculties)
2. In case of high demand for PWP, participants are determined by drawing before a notary public. Provincial Directorate shall specify in the notice which methods indicated below would be used for the selection of participants. The selected method will be used to identify both the main participants and substitute participants, which at least half of the main participants.
 - Notary draw method
 - List method (determination of applicants deemed appropriate as a result of interview or job and career counselling)
 - Eighty percent by the notary draw, twenty percent by the list method

8.2 Calculation of benefit amount

8.2.1 Calculation of gross benefit

Worker's wage expense is calculated according to the current gross minimum wage of a worker who is over 18 years old and working in the industry sector, and which is composed of wage, tax and social security payments. (Participants will receive a wage during PWP, which will be calculated over the current minimum wage, according to their duration of work.)

The Gross Minimum Wage paid between 1 July-31 December 2016 for the workers over 16 is 1.593 TL.

8.3 Tax treatment of benefit and interaction with other benefits

Public Workfare Programs are taxed over gross wage.

12 Month PWP for 1 person in 2016		
Parameter		Indicator

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PWP number of working days		30
Number of Trainee (male+female)		1
Daily minimum wage		40.05
Payment to participant		1300,99
Insurance premium expenses	18,5%	240,6832
Risk premium rate	0,02	26,0198
Employer Unemployment Insurance Fund	2%	26,02
Total		1593,713

8.4 *Benefit duration*

1. Maximum duration of the programs is 9 months.
2. Programs can be arranged as full-time (45 hours per week)

8.5 *Treatment of particular groups*

It is essential that Participants are selected from the region closest to the place where Public Workfare Programs are implemented. In the process of determining the participants within the applicants, two lists are being prepared based on the status of the applicants. The disadvantaged groups in employment, mentioned below, placed in the first list and the remaining applicants are placed in the second list. The applicants in the second list will not be assessed before the assessment of all the applicants are completed in the first list. All the groups below belong to the first list and there is no order of priority among these groups.

- a) Women
- b) Individuals 35 Years and Over
- c) People with disabilities
- d) Ex-convicts
- e) Wounded in a way to not getting disability in the fight against terrorism

8.5.1 *Young persons*

8.5.2 *Older workers*

8.5.3 *Others if applicable, including disabled*

9 Lone-parent benefits

Regular Cash Assistance Program for Women Whose Husbands are Dead became effective in April 1, 2012 upon the decision of Social Assistance and Solidarity Fund Board dated 25.08.2011 and no.6.

9.1 Conditions for receipt

Women whose husband (in civil marriage) are dead, who are currently not married, are not covered by any social security system and whose needy and vulnerable situation is determined by the decision of the Board of Trustees of SASF, could benefit from this assistance.

There is not any age requirement for the women who wants to benefit from this assistance. Also, there are no statutory duties to furnish maintenance as stated in the related provisions of the Turkish Civil Code. Woman who is divorced from her husband before he dies, could not benefit from the program. If the husband is dead while the divorce suit still continues, woman could benefit from the assistance.

If the woman, who applies to the assistance, lives in separate houses from her children and only benefit from their health insurance, could benefit from the assistance on condition that she is determined as needy and vulnerable by the Board of Trustees of SASF.

Due to the fact that food and accommodation expenses of the detainees and the convicted are covered by the Law no.1721, women in such situations could not benefit from the assistance. Moreover, women who stay in residential home could not benefit from the assistance because their basic needs are met by this home.

9.2 Calculation of benefit amount

Every two months 250 TL (per months) regular cash payment is made to the beneficiaries within the scope of the assistance. Periods of the payments and the rate of increase are specified by the Fund Board.

9.2.1 Calculation of gross benefit

9.2.1.1 Irregular additional payments

9.2.2 Income and earnings disregards

9.3 Tax treatment of benefit and interaction with other benefits

9.4 Benefit duration

9.5 Treatment of particular groups

9.5.1 Young persons

9.5.2 Older workers

9.5.3 Others if applicable, including disabled

10 Tax system

10.1 Income tax

10.1.1 Tax allowances and credits

10.1.1.1 Standard allowances

Reliefs for social security contributions: Employee's social security contributions are deductible from gross earnings. These contributions are 15% of gross income as stated by the Social Insurance Act. The contribution to the unemployment fund is included in this amount and equals 1% of gross income. Contributions to public pension funds established by law are deductible.

Work-related expenses: None.

Minimum Living Relief: The calculation of the minimum living allowance is based on the annual gross amount of the minimum wage for employees older than 16 at the beginning of the calendar year in which the income is obtained multiplied by the following rates:

- 50% for the taxpayer him or herself;
- 10% for the spouse who neither works nor has an income;
- 7.5% for each of the first two children;
- 10% for the third child
- 5% for each additional child.

This total amount is then multiplied by the rate (15%) which is applied to the first income bracket of PIT Schedule stated in Article 103 of PIT Law, and then minimum living relief is calculated by offsetting 1/12 of the allowance amount against monthly calculated tax due on employment income. Any excess is non-refundable.

10.1.1.2 Non-standard tax reliefs

- *Reliefs for disabled:* law 4842 regulates tax relief for disabled persons. The employee who lost his/her working capacity with at least 80% is considered to be disabled in the 1st degree; employees are disabled in the 2nd respectively 3rd degree if they lost their working capacity with at least 60% respectively 40%. In these cases, the following amounts are deductible from monthly wages:
 - Disabled in the 1st degree: 900 TL
 - Disabled in the 2nd degree: 460 TL
 - Disabled in the 3rd degree: 210 TL
- Legal deductions for public institutions such as OYAK (Social Aid Institution for Military Officers)
- 50% of the premiums paid by the wage-earner for life insurance policies which belong to himself (or herself), the spouse and dependent children and all of the premiums paid by the wage-earner for personal insurance policies including death, accident, health, illness, disablement, unemployment, maturity, birth, education, etc. provided that the insurance is contracted with a company establishment in or with a main office in Turkey. (The total amount of deductible

premiums cannot exceed 15% of the wage that is earned in the current month. The annual amount cannot exceed the annual minimum wage.

- Membership payments made to labour unions.

10.1.2 *Income tax schedule (central government income tax)*

The tax schedule in 2016 is as follows:

Taxable income (TL)	Tax on lower threshold (TL)	Tax on excess amount above lower threshold (%)
Up to 12 600		15
12 600 up to 30 000	1 890	20
30 000 up to 110 000	5 370	27
110 000 and over	26 970	35

10.1.3 *State and local income taxes*

Income tax is levied only by the central government.

10.1.4 *Stamp Tax*

The stamp tax base is gross earnings. The tax rate is 0.759% in 2016.

10.2 *Treatment of family income*

10.3 *Social security contributions and payroll taxes*

Insurance benefits in Social Insurance and Universal Health Insurance Law No. 5510 are financed with premiums collected from employees and employers. According to the Law, lower limit of the daily earning subject to premium in calculation of premiums to be collected and benefits to be granted by is one thirtieth of the monthly minimum wage in effect and the upper limit is 6.5 times the lower limit of daily earning. Minimum wage is determined twice a year. There is no difference in terms of marital status or sex and the premiums are calculated according to the gross income.

In 2016, lower limit of the daily earning for a worker was 54.90 TL and the upper limit was 356.85 TL. Information on the amount of monthly income which is basis for allowances collected and premiums paid according to daily income limits are explained below:

Amount of monthly income which is basis for allowances collected and premiums paid in 2016:

Lower Limit for Monthly Income (TL)	Upper Limit for Monthly Income (TL)

Reference date for all information is **July 1st 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

54.90x30=1647	54.90x30x6.5=10705.5
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10.3.1 Contributions payable by employees and benefit recipients

Monthly premium amounts paid according to the premium rates valid for insurance branches, by insurance holders who are employed by one or more employers through a service contract (4/a) with minimum wage in 2016 are as follows:

Insurance Branches	Premium Rate %	Monthly Minimum Premium Amounts Paid by the Insurance Holder (TL)
Invalidity, Old-age and Survivors Insurance	9	1647 x 9% = 148.23
Universal Health Insurance	5	1647 x 5% = 82.35
Unemployment Insurance	1	1647 x 1% = 16.47
Total	15	247.05

10.3.2 Contributions paid by employers

Monthly premium amounts paid according to the premium rates valid for insurance branches, by an employer who employ an employee older than 16 with minimum wage (4/a) for minimum wage in 2016, are as follows:

Insurance Branches	Premium Rate %	Monthly Minimum Premium Amounts Paid by Employers (TL)
Short-term Insurance Branches	2	1647 x 2% = 32.94
Invalidity, Old-age and Survivors Insurance	11	1647 x 11% = 181.17
Universal Health Insurance	7,5	1647 x 7.5% = 123.52
Unemployment Insurance	2	1647 x 2% = 32.94
Total	22.5	370.57

10.4 Treatment of particular groups

10.4.1 Young persons

The difference in minimum wage for the workers younger than 16 is omitted in 2016. Therefore, gross minimum wage for the workers younger than 16 is the same as the workers +16 (1647 TL in 2016.) Monthly premiums for young employees are calculated as explained above.

10.4.2 Older workers

According to the Law No. 5510, social security contribution payments are collected from the insurance holders, who are receiving old-age pension and employed by one or more employers through a service contract (4/a), over the earnings subject to premium and with 30% addition to the short-term insurance branches premium rate. 7.5% of the 30% is insurance holder's share and 22.5% is employer's share. Short-term insurance branches premium, which is 2%, is added to employer's share of 22.5% and the total becomes 24.5%.

Social security contribution payments made by insurance holders, who are receiving old-age pension and employed through a service contract with minimum wage of 1647 TL and social security contribution payments by the employers are shown below:

	Premium Rate %	Monthly Social Security Contribution Payments (TL)
Insurance Holder's Share (Contribution payment)	7.5	$1647 \times 7.5\% = 123.52$
Employer's Share (Contribution payment)	22.5	$1647 \times 22.5\% = 370.57$
Short-term Insurance Branches Employer's Share	2	$1647 \times 2\% = 32.94$
Total	32	527.04

11 Part-time work

11.1 *Special benefit rules for part-time work*

Although there aren't any regulations about part-time work in Social Insurance and Universal Health Insurance Law No. 5510, experts and master teachers who are deemed to be insured within the scope of paragraph (a) of Article 4 and whose working days are less than 30 days, pay their premiums proportionally with their working time and they benefit from the risks covered by various insurance branches in a period longer than the insurance holders working full-time, regarding the number of premium payment days.

11.2 *Special tax and social security contribution rules for part-time work*

Information about the number of premium payment days for part-time work:

- In case the standard weekly working duration has been set as less than two thirds of the working time of a peer worker with full-time labour contract, it is called part-time working.
- Depending on the type of the written part-time labour contract signed by the employer and the insurance holder, in case it includes a clause on working for monthly wage, the insurance is declared as full month, regardless of the weekly working duration.
- If the labour contract has been signed on the basis of hourly pay, total working duration of the part-time worker in a month is divided into 7.5 hours, which is the usual daily working time according to the Labour Law No. 4857, in order to calculate the number of days for premium payment. In this calculation, the working duration which is less than 7.5 hours is accepted as a full day.
- Total working duration of the insurance holders working in the scope of the Maritime Labour Law No. 854, dated 20.04.1967 and the Law on Regulation of the Relations between Employees and Employers in the Press Profession No. 5953, dated 13.06.1952, is divided into 8 hours to calculate the number of days of insurance declaration. In this calculation, the working duration which is less than 8 hours is accepted as a full day.
- In case of on-call work, where it is agreed through a written contract that the action of working shall be performed when worker is required in relation with the work undertaken by him/her, monthly working duration of the insurance holder is calculated according to the duration on which the parties agreed if the working time is determined as day, week or month and according to the provisions above if the working time is not determined as day, week or month. If the working time exceeds the duration determined by the parties as day, week or month, this duration is taken into account in the calculation of the number of days for the insurance declaration, in accordance with the provisions mentioned above.

12 Policy developments

12.1 Policy changes introduced from 2 July 2015 – 1 July 2016

Half Time Working Pay

In line with the amendments made in 74th article of Law No. 4857, beginning from the end of maternity leave after birth, woman workers and woman or male workers who adopt children below the age of three are given non-paid leave with the amount of half of the weekly working time between 60 and 360 days depending on the circumstances in which the child is disabled and there is multiple birth.

In this framework, the persons who work half time can benefit from half time working pay in case they meet the below conditions;

- Applying to our Agency within 30 days after the date the paid maternity leave expires.
- Having paid 600 day unemployment insurance premiums within last 3 years before the birth.
- Having worked half of the weekly working time.

The daily amount of half time working pay is paid over the gross maximum wage. Since the number of half time working days are maximum 15 days, monthly half time working pay is maximum 817,00 TL for 2016.

- Invalidity, Old-age and Survivors Insurance and,
- Universal Health Insurance premiums

of those are paid from Unemployment Insurance Fund as 32.5% over the lower income limit taken as basic to the premium for the days half time working pay is paid.

12.2 Future policy changes announced since 1 July 2016

ANNEX

DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.

The following text has been adapted from Annex A of the OECD *Revenue Statistics*.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasicompulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organized schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalization Fund and Community Tax.